Balance Sheet

As at 31 March, 2022

(₹ in Thousands)

	Schedule No.	As at 31-03-2022	As at 31-03-2021
Capital and Liabilities			
Capital	1	6,139,496	6,127,497
Employees' Stock Options Outstanding		1,485,957	-
Reserves & Surplus	2	1,144,115,119	1,009,902,605
Deposits	3	8,217,209,051	6,979,852,901
Borrowings	4	1,851,338,631	1,428,731,597
Other Liabilities and Provisions	5	531,492,834	443,361,706
Total		**11,751,781,088**	**9,867,976,306**
Assets			
Cash and Balances with Reserve Bank of India	6	940,345,056	518,085,592
Balances with Banks and Money at Call and Short Notice	7	169,526,229	99,212,618
Investments	8	2,755,972,009	2,261,196,213
Advances	9	7,076,959,511	6,143,993,979
Fixed Assets	10	45,723,503	42,450,264
Other Assets	11	763,254,780	803,037,640
Total		**11,751,781,088**	**9,867,976,306**
Contingent Liabilities	12	12,921,045,727	10,526,588,107
Bills for Collection		669,474,382	503,752,658
Significant Accounting Policies and Notes to Accounts	17 & 18		

Schedules referred to above form an integral part of the Balance Sheet

In terms of our report attached.

For M P Chitale & Co.
ICAI Firm Registration No.: 101851W
Chartered Accountants

Ashutosh Pednekar
Partner
Membership No.: 041037

For CNK & Associates LLP
ICAI Firm Registration No.: 101961W/W100036
Chartered Accountants

Manish Sampat
Partner
Membership No.: 101684

Date : 28 April, 2022
Place: Mumbai

For Axis Bank Ltd.

Rakesh Makhija
Chairman

Rajiv Anand
Deputy Managing Director

Amitabh Chaudhry
Managing Director & CEO

S. Mahendra Dev
Director

Girish Paranjpe
Director

T.C. Suseel Kumar
Director

Sandeep Poddar
Company Secretary

Puneet Sharma
Chief Financial Officer

Profit & Loss Account

For the year ended 31 March, 2022

(₹ in Thousands)

		Schedule No.	Year ended 31-03-2022	Year ended 31-03-2021
I	**Income**			
	Interest earned	13	673,768,296	633,462,321
	Other income	14	152,205,453	122,635,985
	Total		**825,973,749**	**756,098,306**
II	**Expenditure**			
	Interest expended	15	342,446,131	341,071,103
	Operating expenses	16	236,107,543	183,751,491
	Provisions and contingencies	18 (4.14)(e)	117,165,291	165,390,706
	Total		**695,718,965**	**690,213,300**
III	**Net Profit for the year (I - II)**		**130,254,784**	**65,885,006**
	Balance in Profit & Loss Account brought forward from previous year		299,852,810	261,904,547
IV	**Amount Available for Appropriation**		**430,107,594**	**327,789,553**
V	**Appropriations:**			
	Transfer to Statutory Reserve		32,563,696	16,471,251
	Transfer to Special Reserve	18 (4.1)(b)(iii)	6,091,900	-
	Transfer to Investment Reserve	18 (4.1)(b)(iv)	1,484,983	-
	Transfer to Capital Reserve	18 (4.1)(b)(v)	4,410,424	8,482,344
	Transfer to Investment Fluctuation Reserve	18 (4.1)(b)(vi)	4,550,000	3,260,000
	Dividend paid	18 (5.3)	-	-
	Balance in Profit & Loss Account carried forward		381,006,591	299,575,958
	Total		**430,107,594**	**327,789,553**
VI	**Earnings Per Equity Share**	18 (5.1)		
	(Face value ₹2/- per share)			
	Basic (in ₹)		42.48	22.15
	Diluted (in ₹)		42.35	22.09
	Significant Accounting Policies and Notes to Accounts	17 & 18		

Schedules referred to above form an integral part of the Profit and Loss Account

In terms of our report attached.

For Axis Bank Ltd.

For M P Chitale & Co.
ICAI Firm Registration No.: 101851W
Chartered Accountants

Rakesh Makhija
Chairman

Ashutosh Pednekar
Partner
Membership No.: 041037

Rajiv Anand
Deputy Managing Director

Amitabh Chaudhry
Managing Director & CEO

For CNK & Associates LLP
ICAI Firm Registration No.: 101961W/W100036
Chartered Accountants

S. Mahendra Dev
Director

Girish Paranjpe
Director

T.C. Suseel Kumar
Director

Manish Sampat
Partner
Membership No.: 101684

Sandeep Poddar
Company Secretary

Puneet Sharma
Chief Financial Officer

Date : 28 April, 2022
Place: Mumbai

Cash Flow Statement

For the year ended 31 March, 2022

(₹ in Thousands)

	Year ended 31-03-2022	Year ended 31-03-2021
Cash flow from operating activities		
Net profit before taxes	173,825,547	88,058,457
Adjustments for:		
Depreciation on fixed assets	10,083,656	9,481,530
Depreciation on investments	(2,644,815)	13,290,824
Amortisation of premium on Held to Maturity investments	8,237,790	5,921,192
Provision for Non Performing Assets (including bad debts)/Restructured assets	75,496,147	121,910,961
Provision on standard assets and other contingencies	21,766,659	33,761,516
Profit/(loss) on sale of land, buildings and other assets (net)	48,759	68,553
Loss on repayment of capital by subsidiary	237,436	-
Dividend from Subsidiaries	(886,524)	(583,500)
Employee Stock Options Expense	1,485,957	-
	287,650,612	**271,909,533**
Adjustments for:		
(Increase)/Decrease in investments	(241,890,632)	(189,684,607)
(Increase)/Decrease in advances	(1,004,617,060)	(635,485,404)
Increase /(Decrease) in deposits	1,237,356,150	672,011,428
(Increase)/Decrease in other assets	35,461,396	46,979,953
Increase/(Decrease) in other liabilities & provisions	66,336,262	(11,965,037)
Direct taxes paid	(40,784,074)	(17,939,424)
Net cash flow from operating activities	**339,512,654**	**135,826,442**
Cash flow from investing activities		
Purchase of fixed assets	(13,438,848)	(9,016,560)
(Increase)/Decrease in Held to Maturity investments	(258,303,790)	(532,699,292)
Increase in investment in Subsidiaries	(3,994,637)	(67,000)
Decrease in investment in Subsidiaries	1,273,010	-
Proceeds from sale of fixed assets	61,400	131,382
Dividend from Subsidiaries	886,524	583,500
Net cash used in investing activities	**(273,516,341)**	**(541,067,970)**

(₹ in Thousands)

	Year ended 31-03-2022	Year ended 31-03-2021
Cash flow from financing activities		
Proceeds from issue/(Repayment) of subordinated debt, Additional Tier I instruments (net)	(23,774,500)	-
Increase/(Decrease) in borrowings (other than subordinated debt, Additional Tier I instruments (net))	446,381,534	(50,809,733)
Proceeds from issue of share capital	11,998	484,141
Proceeds from share premium (net of share issue expenses)	2,758,544	100,911,847
Net cash generated from financing activities	**425,377,576**	**50,586,255**
Effect of exchange fluctuation translation reserve	1,199,186	(729,320)
Net increase in cash and cash equivalents	492,573,075	(355,384,593)
Cash and cash equivalents at the beginning of the year	617,298,210	972,682,803
Cash and cash equivalents at the end of the year	**1,109,871,285**	**617,298,210**
Notes to the Cash Flow Statement:		
1. Cash and cash equivalents includes the following		
Cash and Balances with Reserve Bank of India (Refer Schedule 6)	940,345,056	518,085,592
Balances with Banks and Money at Call and Short Notice (Refer Schedule 7)	169,526,229	99,212,618
Cash and cash equivalents at the end of the year	**1,109,871,285**	**617,298,210**
2. Amount of Corporate Social Responsibility related expenses spent during the year in cash ₹113.40 crores (previous year ₹85.06 crores)		

In terms of our report attached.

For M P Chitale & Co.
ICAI Firm Registration No.: 101851W
Chartered Accountants

Ashutosh Pednekar
Partner
Membership No.: 041037

For CNK & Associates LLP
ICAI Firm Registration No.: 101961W/W100036
Chartered Accountants

Manish Sampat
Partner
Membership No.: 101684

Date : 28 April, 2022
Place: Mumbai

For Axis Bank Ltd.

Rakesh Makhija
Chairman

Rajiv Anand
Deputy Managing Director

Amitabh Chaudhry
Managing Director & CEO

S. Mahendra Dev
Director

Girish Paranjpe
Director

T.C. Suseel Kumar
Director

Sandeep Poddar
Company Secretary

Puneet Sharma
Chief Financial Officer

SCHEDULES FORMING PART OF THE BALANCE SHEET

As at 31 March, 2022

Schedule 1 - Capital

(₹ in Thousands)

	As at 31-03-2022	As at 31-03-2021
Authorised Capital		
4,250,000,000 (Previous year - 4,250,000,000) Equity Shares of ₹2/- each	**8,500,000**	**8,500,000**
Issued, Subscribed and Paid-up capital		
3,069,747,836 (Previous year - 3,063,748,652) Equity Shares of ₹2/- each fully paid-up	**6,139,496**	**6,127,497**

Schedule 2 - Reserves and Surplus

(₹ in Thousands)

		As at 31-03-2022	As at 31-03-2021
I.	**Statutory Reserve**		
	Opening Balance	147,990,536	131,519,285
	Additions during the year	32,563,696	16,471,251
		180,554,232	**147,990,536**
II.	**Special Reserve**		
	Opening Balance	-	-
	Additions during the year [Refer Schedule 18 (4.1)(b)(iii)]	6,091,900	-
		6,091,900	**-**
III.	**Share Premium Account**		
	Opening Balance	512,293,884	411,382,037
	Additions during the year	2,758,544	101,281,656
	Less: Share issue expenses	-	(369,809)
		515,052,428	**512,293,884**
IV.	**Investment Reserve Account**		
	Opening balance	-	-
	Additions during the year [Refer Schedule 18 (4.1)(b)(iv)]	1,484,983	-
		1,484,983	**-**
V.	**General Reserve**		
	Opening Balance	3,543,100	3,543,100
	Additions during the year	-	-
		3,543,100	**3,543,100**
VI.	**Capital Reserve**		
	Opening Balance	32,811,478	24,329,134
	Additions during the year [Refer Schedule 18 (4.1)(b)(v)]	4,410,424	8,482,344
		37,221,902	**32,811,478**
VII.	**Foreign Currency Translation Reserve [Refer Schedule 17 (5.6)]**		
	Opening Balance	870,797	1,787,213
	Additions during the year	1,199,186	-
	Deductions during the year	-	(729,320)
	Transfer to balance in Profit & Loss Account[1]	-	(187,096)
		2,069,983	**870,797**

(₹ in Thousands)

		As at 31-03-2022	As at 31-03-2021
VIII.	**Reserve Fund**		
	Opening Balance	-	89,756
	Deductions during the year [Refer Schedule 18 (4.1)(b)(vii)][2]	-	(89,756)
		-	-
IX.	**Investment Fluctuation Reserve**		
	Opening Balance	12,540,000	9,280,000
	Additions during the year [Refer Schedule 18 (4.1)(b)(vi)]	4,550,000	3,260,000
		17,090,000	**12,540,000**
X.	**Balance in Profit & Loss Account brought forward**	381,006,591	299,575,958
	Adjustments during the year[1, 2]	-	276,852
	Balance in Profit & Loss Account	**381,006,591**	**299,852,810**
	Total	**1,144,115,119**	**1,009,902,605**

1. During the previous year ended 31 March, 2021, the Bank had transferred ₹8.98 crores from Reserve Fund account to Balance in Profit & Loss Account on closure of Colombo branch operations
2. During the previous year ended 31 March, 2021, the Bank had transferred ₹18.71 crores from Foreign Currency Translation Reserve to Balance in Profit & Loss Account, representing the amount of exchange gain realised on repatriation of accumulated profits of overseas branches that have been closed during the year

Schedule 3 - Deposits

(₹ in Thousands)

				As at 31-03-2022	As at 31-03-2021
A.	I.	Demand Deposits			
		(i)	From banks	47,926,445	51,455,112
		(ii)	From others	1,225,135,013	1,081,306,636
	II.	Savings Bank Deposits		2,424,492,469	2,044,725,279
	III.	Term Deposits			
		(i)	From banks	218,241,253	231,595,882
		(ii)	From others	4,301,413,871	3,570,769,992
	Total			**8,217,209,051**	**6,979,852,901**
B.	I.	Deposits of branches in India		8,192,828,648	6,958,985,369
	II.	Deposits of branches outside India		24,380,403	20,867,532
	Total			**8,217,209,051**	**6,979,852,901**

Schedule 4 - Borrowings

(₹ in Thousands)

			As at 31-03-2022	As at 31-03-2021
I.	Borrowings in India			
	(i)	Reserve Bank of India	181,020,000	181,020,000
	(ii)	Other banks [1]	150,000	505,000
	(iii)	Other institutions & agencies [2]	1,126,296,822	847,125,567
II.	Borrowings outside India [3]		543,871,809	400,081,030
	Total		**1,851,338,631**	**1,428,731,597**
	Secured borrowings included in I & II above		250,784,722	181,518,789

1. Borrowings from other banks include Subordinated Debt of ₹15.00 crores (previous year ₹15.00 crores) in the nature of Non-Convertible Debentures [Also refer Schedule 18 (4.1)(a)]
2. Borrowings from other institutions & agencies include Subordinated Debt of ₹14,065.00 crores (previous year ₹17,490.00 crores) in the nature of Non-Convertible Debentures and Perpetual Debt of ₹3,500.00 crores (previous year ₹7,000.00 crores) [Also refer Schedule 18 (4.1)(a)]
3. Borrowings outside India include Additional Tier I Bonds in the nature of Perpetual Debt amounting to $600 million (₹4,547.55 crores); previous year Nil

Schedule 5 - Other Liabilities and Provisions

(₹ in Thousands)

		As at 31-03-2022	As at 31-03-2021
I.	Bills payable	84,993,581	70,326,546
II.	Inter-office adjustments (net)	-	-
III.	Interest accrued	42,397,579	33,368,882
IV.	Contingent provision against standard assets	72,708,198	70,483,054
V.	Others (including provisions)	331,393,476	269,183,224
	Total	**531,492,834**	**443,361,706**

Schedule 6 - Cash and Balances with Reserve Bank of India

(₹ in Thousands)

			As at 31-03-2022	As at 31-03-2021
I.	Cash in hand (including foreign currency notes)		98,400,898	126,731,503
II.	Balances with Reserve Bank of India			
	(i)	in Current Account	369,934,158	234,354,089
	(ii)	in Other Accounts	472,010,000	157,000,000
	Total		**940,345,056**	**518,085,592**

Schedule 7 - Balances with Banks and Money at Call and Short Notice

(₹ in Thousands)

				As at 31-03-2022	As at 31-03-2021
I.	**In India**				
	(i)	Balance with Banks			
		(a)	in Current Accounts	12,334,577	2,792,501
		(b)	in Other Deposit Accounts	1,237,903	6,145,903
	(ii)	Money at Call and Short Notice			
		(a)	With banks	-	-
		(b)	With other institutions	7,984,854	-
	Total			**21,557,334**	**8,938,404**
II.	**Outside India**				
	(i)	in Current Accounts		23,359,217	22,476,883
	(ii)	in Other Deposit Accounts		55,183,748	4,520,626
	(iii)	Money at Call & Short Notice		69,425,930	63,276,705
	Total			**147,968,895**	**90,274,214**
	Grand Total (I+II)			**169,526,229**	**99,212,618**

Schedule 8 - Investments

(₹ in Thousands)

			As at 31-03-2022	As at 31-03-2021
I.	**Investments in India in -**			
	(i)	Government Securities[1]	2,190,931,483	1,807,028,378
	(ii)	Other approved securities	-	-
	(iii)	Shares	17,589,672	12,135,320
	(iv)	Debentures and Bonds	449,048,275	347,312,010
	(v)	Subsidiaries/Joint Ventures	22,156,458	18,161,821
	(vi)	Others (Mutual Fund units, PTC etc.)	13,611,786	31,941,023
	Total Investments in India		**2,693,337,674**	**2,216,578,552**
II.	**Investments outside India in -**			
	(i)	Government Securities (including local authorities)	56,697,634	34,872,151
	(ii)	Subsidiaries and/or joint ventures abroad	3,322,982	4,833,427
	(iii)	Others (Equity Shares and Bonds)	2,613,719	4,912,083
	Total Investments outside India		**62,634,335**	**44,617,661**
	Grand Total (I+II)		**2,755,972,009**	**2,261,196,213**

1. Includes securities costing ₹58,436.89 crores (previous year ₹39,279.90 crores) pledged for availment of fund transfer facility, clearing facility and margin requirements

Schedule 9 - Advances

(₹ in Thousands)

			As at 31-03-2022	As at 31-03-2021
A.	(i)	Bills purchased and discounted	355,757,979	224,469,726
	(ii)	Cash credits, overdrafts and loans repayable on demand[1]	1,881,774,129	1,784,050,089
	(iii)	Term loans	4,839,427,403	4,135,474,164
		Total	**7,076,959,511**	**6,143,993,979**
B.	(i)	Secured by tangible assets[2]	5,248,291,348	4,414,912,395
	(ii)	Covered by Bank/Government Guarantees[3]	138,087,031	61,884,690
	(iii)	Unsecured	1,690,581,132	1,667,196,894
		Total	**7,076,959,511**	**6,143,993,979**
C.	I.	Advances in India		
		(i) Priority Sector	2,541,627,452	1,841,713,701
		(ii) Public Sector	221,957,001	326,809,245
		(iii) Banks	24,469,274	31,309,969
		(iv) Others	3,808,002,694	3,587,372,463
		Total	**6,596,056,421**	**5,787,205,378**
	II.	Advances Outside India		
		(i) Due from banks	5,608,645	17,482,878
		(ii) Due from others -		
		(a) Bills purchased and discounted	238,885,611	99,079,523
		(b) Syndicated loans	1,070,721	3,106,491
		(c) Others	235,338,113	237,119,709
		Total	**480,903,090**	**356,788,601**
		Grand Total (CI+CII)	**7,076,959,511**	**6,143,993,979**

1. Net of borrowings under Inter Bank Participation Certificate (IBPC) Nil (previous year ₹700.00 crores), includes lending under IBPC ₹4,925.70 crores (previous year ₹3,078.38 crores)
2. Includes advances against Book Debts ₹124,783.52 crores (previous year ₹108,930.80 crores)
3. Includes advances against L/Cs issued by other banks

Schedule 10 - Fixed Assets

(₹ in Thousands)

		As at 31-03-2022	As at 31-03-2021
I.	**Premises**		
	Gross Block		
	At cost at the beginning of the year	18,377,019	18,377,019
	Additions during the year	343,089	-
	Deductions during the year	-	-
	Total	**18,720,108**	**18,377,019**
	Depreciation		
	As at the beginning of the year	2,195,125	1,916,837
	Charge for the year	278,664	278,288
	Deductions during the year	-	-
	Depreciation to date	**2,473,789**	**2,195,125**
	Net Block	**16,246,319**	**16,181,894**
II.	**Other fixed assets (including furniture & fixtures)**		
	Gross Block		
	At cost at the beginning of the year	79,505,358	67,624,322
	Additions during the year[1]	12,101,510	12,662,609
	Deductions during the year	(1,883,120)	(781,573)
	Total	**89,723,748**	**79,505,358**
	Depreciation		
	As at the beginning of the year	54,334,010	45,698,604
	Charge for the year	9,804,992	9,203,242
	Deductions during the year	(1,801,168)	(567,836)
	Depreciation to date	**62,337,834**	**54,334,010**
	Net Block	**27,385,914**	**25,171,348**
III.	**Capital Work-in-Progress (including capital advances)**	**2,091,270**	**1,097,022**
	Grand Total (I+II+III)	**45,723,503**	**42,450,264**

1. includes movement on account of exchange rate fluctuation

Schedule 11 - Other Assets

(₹ in Thousands)

		As at 31-03-2022	As at 31-03-2021
I.	Inter-office adjustments (net)	-	-
II.	Interest Accrued	84,649,252	80,915,330
III.	Tax paid in advance/tax deducted at source (net of provisions)	7,193,917	8,401,306
IV.	Stationery and stamps	6,286	4,647
V.	Non banking assets acquired in satisfaction of claims[1]	-	-
VI.	Others[2,3]	671,405,325	713,716,357
	Total	**763,254,780**	**803,037,640**

1. Represents balance net of provision of ₹2,068.24 crores (previous year ₹2,068.24 crores) on Land held as non-banking asset
2. Includes deferred tax assets of ₹7,361.84 crores (previous year ₹7,519.77 crores) [Refer Schedule 18 (5.8)]
3. Includes Priority Sector Shortfall Deposits of ₹41,653.61 crores (previous year ₹46,885.68 crores)

Schedule 12 - Contingent Liabilities

(₹ in Thousands)

			As at 31-03-2022	As at 31-03-2021
I.	Claims against the Bank not acknowledged as debts		9,516,734	20,538,600
II.	Liability for partly paid investments		3,194,871	1,647,600
III.	Liability on account of outstanding forward exchange and derivative contracts:			
	a)	Forward Contracts	5,178,033,671	5,101,178,776
	b)	Interest Rate Swaps, Currency Swaps, Forward Rate Agreement & Interest Rate Futures	5,426,088,513	3,354,176,124
	c)	Foreign Currency Options	479,585,470	365,043,226
	Total (a+b+c)		**11,083,707,654**	**8,820,398,126**
IV.	Guarantees given on behalf of constituents			
	In India		724,358,601	729,652,492
	Outside India		72,919,870	78,656,250
V.	Acceptances, endorsements and other obligations		569,415,450	378,058,439
VI.	Other items for which the Bank is contingently liable		457,932,547	497,636,600
	Grand Total (I+II+III+IV+V+VI) [Refer Schedule 18 (5.15)]		**12,921,045,727**	**10,526,588,107**

SCHEDULES FORMING PART OF PROFIT & LOSS ACCOUNT

For the year ended 31 March, 2022

Schedule 13 - Interest Earned

(₹ in Thousands)

		Year ended 31-03-2022	Year ended 31-03-2021
I.	Interest/discount on advances/bills	496,165,823	476,198,000
II.	Income on investments	146,189,141	125,582,106
III.	Interest on balances with Reserve Bank of India and other inter-bank funds	15,281,533	10,378,843
IV.	Others	16,131,799	21,303,372
	Total	**673,768,296**	**633,462,321**

Schedule 14 - Other Income

(₹ in Thousands)

		Year ended 31-03-2022	Year ended 31-03-2021
I.	Commission, exchange and brokerage	113,586,145	93,589,106
II.	Profit/(Loss) on sale of investments (net)	11,132,237	23,023,296
III.	Profit/(Loss) on revaluation of investments (net) [Refer Schedule 18(4.3)(b)]	2,644,815	(13,290,824)
IV.	Profit/(Loss) on sale of land, buildings and other assets (net)[1]	(48,760)	(68,551)
V.	Profit/(Loss) on exchange/derivative transactions (net)	19,123,801	15,780,620
VI.	Income earned by way of dividends etc. from subsidiaries/companies and/or joint venture abroad/in India	886,524	583,500
VII.	Miscellaneous Income	4,880,691	3,018,838
	Total	**152,205,453**	**122,635,985**

1. includes provision for diminution in value of fixed assets

Schedule 15 - Interest Expended

(₹ in Thousands)

		Year ended 31-03-2022	Year ended 31-03-2021
I.	Interest on deposits	266,837,844	265,441,888
II.	Interest on Reserve Bank of India/Inter-bank borrowings	10,213,473	14,827,106
III.	Others	65,394,814	60,802,109
	Total	**342,446,131**	**341,071,103**

Schedule 16 - Operating Expenses

(₹ in Thousands)

		Year ended 31-03-2022	Year ended 31-03-2021
I.	Payments to and provisions for employees	76,125,539	61,640,139
II.	Rent, taxes and lighting	13,355,481	11,682,655
III.	Printing and stationery	2,301,928	1,693,339
IV.	Advertisement and publicity	732,598	813,136
V.	Depreciation on bank's property	10,083,656	9,481,530
VI.	Directors' fees, allowance and expenses	49,949	24,929
VII.	Auditors' fees and expenses	33,735	21,097
VIII.	Law charges	2,071,479	1,243,809
IX.	Postage, telegrams, telephones etc.	2,879,837	3,004,494
X.	Repairs and maintenance	13,774,304	11,937,024
XI.	Insurance	12,842,409	9,994,257
XII.	Other expenditure	101,856,628	72,215,082
	Total	**236,107,543**	**183,751,491**

17 SIGNIFICANT ACCOUNTING POLICIES TO THE STANDALONE FINANCIAL STATEMENTS

for the year ended 31 March, 2022

1. Background

Axis Bank Limited ('the Bank') was incorporated in 1993 and provides a complete suite of banking and financial services including retail banking, wholesale banking and treasury operations. The Bank is primarily governed by the Banking Regulation Act, 1949. As on 31 March, 2022, the Bank has overseas branches at Singapore, DIFC - Dubai and an Offshore Banking Unit at the International Financial Service Centre (IFSC), Gujarat International Finance Tec-City (GIFT City), Gandhinagar, India.

2. Basis of preparation

The standalone financial statements ('financial statements') have been prepared and presented under the historical cost convention on the accrual basis of accounting in accordance with the generally accepted accounting principles in India, unless otherwise stated by the Reserve Bank of India ('RBI'), to comply with the statutory requirements prescribed under the Third Schedule of the Banking Regulation Act, 1949, the circulars, notifications, guidelines and directives issued by the RBI from time to time and the Accounting Standards notified under Section 133 of the Companies Act, 2013 read with paragraph 7 of the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Amendment Rules, 2016 to the extent applicable and practices generally prevalent in the banking industry in India. Accounting policies applied have been consistent with the previous year except otherwise stated.

3. Use of estimates

The preparation of the financial statements in conformity with the generally accepted accounting principles requires the Management to make estimates and assumptions that affect the reported amounts of assets and liabilities (including contingent liabilities) at the date of the financial statements, revenues and expenses during the reporting period. Actual results could differ from those estimates. The Management believes that the estimates and assumptions used in the preparation of the financial statements are prudent and reasonable. Any revisions, as and when carried out, to the accounting estimates are recognised prospectively in the current and future periods.

4. Changes in accounting policies

Effective 1 April, 2021, the Bank has carried out the following changes in its accounting policies:

4.1 Recognition of Employee stock option expenses

RBI issued a clarification on Guidelines on Compensation of Whole Time Directors/Chief Executive Officers /Material Risk Takers and Control Function Staff on 30 August, 2021, advising banks that the share-linked instruments are required to be fair valued on the date of grant using the Black-Scholes model. The fair value thus arrived should be recognised as an expense for all options granted after the accounting period ending 31 March, 2021. Accordingly, the Bank has changed its accounting policy from the intrinsic value method to the fair value method for all share-linked instruments granted after 31 March, 2021 and consequently recognized the fair value of options computed using the Black-Scholes model, without reducing estimated forfeitures, as compensation expense over the vesting period. As a result, 'Payments to & provisions for employees' for the year ended 31 March, 2021 are higher by ₹129.79 crores with a consequent reduction in the profit before tax by the same amount.

5. Significant accounting policies

5.1 Investments

Classification

In accordance with the RBI guidelines, investments are classified at the time of purchase as:

- Held for Trading ('HFT');
- Available for Sale ('AFS'); and
- Held to Maturity ('HTM').

Investments that are held principally for sale within a short period are classified as HFT securities. As per the RBI guidelines, HFT securities, which remain unsold for a period of 90 days are transferred to AFS securities.

Investments that the Bank intends to hold till maturity are classified under the HTM category. Investments in the equity of subsidiaries/joint ventures and investments under TLTRO guidelines are categorised as HTM in accordance with the RBI guidelines.

All other investments are classified as AFS securities.

For disclosure in the Balance Sheet, Investments in India are classified under six categories - Government Securities, Other approved securities, Shares, Debentures and Bonds, Investment in Subsidiaries/Joint Ventures and Others. Investments made outside India are classified under three categories - Government Securities, Subsidiaries and/or Joint Ventures abroad and Others.

All investments are accounted for on settlement date, except investments in equity shares which are accounted for on trade date.

Transfer of security between categories

Transfer of security between categories of investments is accounted as per the RBI guidelines.

Acquisition cost

Costs such as brokerage, commission etc. pertaining to investments, incurred at the time of acquisition, are charged to the Profit and Loss Account.

Broken period interest is charged to the Profit and Loss Account.

Cost of investments is computed based on the weighted average cost method.

Valuation

Investments classified under the HTM category: Investments are carried at acquisition cost unless it is more than the face value, in which case the premium is amortised over the period remaining to maturity on a constant yield to maturity basis. Such amortization of premium is adjusted against interest income under the head 'Income from Investments' under Schedule 13 in Profit and Loss Account. As per the RBI guidelines, discount on securities held under HTM category is not accrued and such securities are held at the acquisition cost till maturity.

Investments in subsidiaries/joint ventures are categorised as HTM and assessed for impairment to determine permanent diminution, if any, in accordance with the RBI guidelines and suitable provisions are made.

Investments classified under the AFS and HFT categories: Investments under these categories are marked to market. The market/fair value of quoted investments included in the 'AFS' and 'HFT' categories is the market price of the scrip as available from the trades/quotes on the stock exchanges or prices declared by the Fixed Income Money Market and Derivatives Association of India ('FIMMDA')/Financial Benchmark India Private Limited ('FBIL'), periodically. Net depreciation, if any, within each category of each investment classification is recognised in the Profit and Loss Account. The net appreciation if any, under each category of each investment classification is ignored. Net depreciation on each type of investments falling under the residual category of 'Others' (i.e. mutual funds, PTCs, security receipts etc.) is not offset against gain in another class of investment falling within the 'Others' category. Further, in case of standard investments classified as weak (including certain internally unrated investments) as per the Bank's internal framework, the Bank recognizes net depreciation without availing the benefit of set-off against appreciation within the same class of investments as permitted under the extant RBI circular. The depreciation on securities acquired by way of conversion of outstanding loans is provided in accordance with the RBI guidelines. Provision for depreciation on investments is classified under Schedule-14 'Other Income'. The book value of individual securities is not changed consequent to the periodic valuation of investments.

Non-performing investments are identified and provision is made thereon as per the RBI guidelines. Provision for depreciation on such non-performing investments is not set off against the appreciation in respect of other performing securities as per RBI guidelines. Interest on non-performing investments is not recognized in the Profit and Loss Account until received.

Treasury Bills, Exchange Funded Bills, Commercial Paper and Certificate of Deposits being discounted instruments, are valued at carrying cost which includes discount accreted over the period to maturity.

Units of mutual funds are valued at the latest repurchase price/net asset value declared by the mutual fund.

Market value of investments where current quotations are not available, is determined in accordance with the norms prescribed by the RBI as under:

- The market/fair value of unquoted government securities which are in the nature of Statutory Liquidity Ratio ('SLR') securities forming part of AFS and HFT categories is computed as per the rates published by FIMMDA/FBIL.
- In case of special bonds issued by the Government of India that do not qualify for SLR purposes, unquoted bonds, debentures, preference shares where interest/dividend is received regularly (i.e. not overdue beyond 90 days), the market price is derived based on the YTM for Government Securities as published by FIMMDA/FBIL and suitably

marked up for credit risk applicable to the credit rating of the instrument. The matrix for credit risk mark-up for each category and credit ratings along with residual maturity issued by FIMMDA/FBIL is adopted for this purpose.

- In case of bonds & debentures where interest is not received regularly (i.e. overdue beyond 90 days), the valuation is in accordance with prudential norms for provisioning as prescribed by the RBI.
- Pass Through Certificates ('PTC') and Priority Sector PTCs are valued as per extant FIMMDA guidelines.
- Equity shares, for which current quotations are not available or where the shares are not quoted on the stock exchanges, are valued at break-up value (without considering revaluation reserves, if any) which is ascertained from the company's latest Balance Sheet. In case the latest Balance Sheet is not available, the shares are valued at ₹1 per company.
- Units of Venture Capital Funds ('VCF') held under AFS category where current quotations are not available are valued based on the latest audited financial statements of the fund. In case the audited financials are not available for a period beyond 18 months, the investments are valued at ₹1 per VCF. Investment in unquoted VCF may be categorized under HTM category for the initial period of three years and are valued at cost as per the RBI guidelines.
- Investments in Security Receipts (SR's) are valued as per the NAV declared by the issuing Asset Reconstruction Company (ARC) or net book value of loans transferred or estimated recoverable value based on Bank's internal assessment on case to case basis, whichever is lower. In case of investments in SRs which are backed by more than 10 percent of the stressed assets sold by the Bank, the valuation of such SRs is additionally subject to a floor of face value of the SRs reduced by the provisioning rate as per the extant asset classification and provisioning norms as applicable to the underlying loans, assuming that the loan notionally continued in the books of the Bank.

Disposal of investments

Investments classified under the HTM category: Realised gains are recognised in the Profit and Loss Account and subsequently appropriated to Capital Reserve account (net of taxes and transfer to statutory reserves) in accordance with the RBI guidelines. Losses are recognised in the Profit and Loss Account.

Investments classified under the AFS and HFT categories: Realised gains/losses are recognised in the Profit and Loss Account.

Repurchase and reverse repurchase transactions

Repurchase (repo) and reverse repurchase transactions in Government securities and corporate debt securities including those conducted under the Liquidity Adjustment Facility ('LAF') and Marginal Standby Facility ('MSF') with RBI are accounted as collateralised borrowing and lending respectively. Accordingly, securities given as collateral under an agreement to repurchase them continue to be held under the investment account and the Bank continues to accrue the coupon/discount on the security during the repo period. Further, the Bank continues to value the securities sold under repo as per the investment classification of the security. Borrowing cost on repo transactions is accounted as interest expense and revenue on reverse repo transactions is accounted as interest income.

Short Sales

In accordance with the RBI guidelines, the Bank undertakes short sale transactions in Central Government dated securities. Such short positions are categorised under HFT category and netted off from investments in the Balance Sheet. These positions are marked-to-market along with the other securities under HFT portfolio and the resultant mark-to-market gains/losses are accounted for as per the relevant RBI guidelines for valuation of investments discussed earlier.

5.2 Advances

Classification and measurement of advances

Advances are classified into performing and non-performing advances ('NPAs') as per the RBI guidelines and are stated net of bills rediscounted, inter-bank participation certificates, specific provisions made towards NPAs, interest in suspense for NPAs, claims received from Export Credit Guarantee Corporation, provisions for funded interest on term loan classified as NPAs and floating provisions. Structured collateralised foreign currency loans extended to customers and deposits received from the same customer are reported on a net basis.

The Bank transfers advances through inter-bank participation with and without risk. In accordance with the RBI guidelines, in the case of participation with risk, the aggregate amount of the participation issued by the Bank is reduced from advances and where the Bank is participating, the aggregate amount of the participation is classified under advances. In the case of participation without risk, the aggregate amount of participation issued by the Bank is classified under borrowings and where the Bank is participating, the aggregate amount of participation is shown as due from banks under advances.

Non-performing advances and provision on non-performing advances

NPAs are classified into sub-standard, doubtful and loss assets based on the criteria stipulated by the RBI. Advances held at the overseas branches that are identified as impaired as per host country regulations for reasons other than record of recovery, but which are standard as per the RBI guidelines, are classified as NPAs to the extent of amount outstanding in the host country. NPAs are upgraded to standard as per the extant RBI guidelines.

Provisions for NPAs are made for sub-standard and doubtful assets at rates as prescribed by the RBI with the exception for schematic retail advances, agriculture advances and advances to Commercial Banking segment. In respect of schematic retail advances, provisions are made in terms of a bucket-wise policy upon reaching specified stages of delinquency (90 days or more of delinquency) under each type of loan, which satisfies the RBI prudential norms on provisioning. Provisions in respect of commercial banking group advances and agriculture advances classified into sub-standard and doubtful assets are made at rates which are higher than those prescribed by the RBI.

Provisions for advances booked in overseas branches, which are standard as per the RBI guidelines but are classified as NPAs based on host country guidelines, are made as per the host country regulations.

In case of NPAs referred to the National Company Law Tribunal ('NCLT') under Insolvency and Bankruptcy Code ('IBC') where resolution plan or liquidation order has been approved by NCLT, provision is maintained at higher of the requirement under the RBI guidelines or the likely haircut as per resolution plan or liquidation order.

Provision on Restructured assets

Restructured assets are classified and provided for in accordance with the guidelines issued by the RBI from time to time. In respect of advances where resolution plan is under implementation or implemented under the RBI guidelines on "Resolution Framework for COVID 19-related Stress" and "Micro, Small and Medium Enterprises (MSME) Sector – Restructuring of Advances", provisions are maintained as per the internal framework of the Bank at rates which are higher than those specified under the extant RBI circulars. Restructured loans are upgraded to standard as per the extant RBI guidelines.

Write-offs and recoveries from written-off accounts

Loss assets and unsecured portion of doubtful assets are provided/written off as per the extant RBI guidelines.

Amounts recovered against debts written off are recognised in the Profit and Loss account as a credit to Provision and Contingencies.

Appropriation of funds for standard advances

In case of EMI based standard retail advances, funds received from customers are appropriated in the order of chronology towards principal, interest, penal interest and charges. In case of other standard advances, funds received from customers are appropriated in the order of chronology as towards charges, penal interest, interest and principal.

Other provisions on advances

The Bank recognises additional provisions as per the RBI's guidelines on accounts in default and with aggregate exposure above the threshold limits as laid down in the said framework where the resolution plan is not implemented within the specified timelines.

In respect of borrowers classified as non-cooperative and willful defaulters, the Bank makes accelerated provisions as per the extant RBI guidelines.

Loans reported as fraud are classified as loss assets, and fully provided for immediately without considering the value of security.

The Bank makes incremental provisioning (determined based on a time scale and on occurrence of predefined events) on all outstanding advances and investments relating to borrowers tagged as RFA.

For entities with Unhedged Foreign Currency Exposure ('UFCE'), provision is made in accordance with the guidelines issued by the RBI, which requires ascertaining the amount of UFCE, estimate the extent of likely loss and estimate the riskiness of unhedged position. This provision is classified under Schedule 5 – Other Liabilities in the Balance Sheet. Further, incremental capital is maintained in respect of such borrower counter parties in the highest risk category, in line with stipulations by the RBI.

The Bank maintains provisions for incremental exposure of the banking system to specified borrowers beyond Normally Permitted Lending Limit ('NPLL') in proportion to Bank's funded exposure to the specified borrowers as per the RBI guidelines. This provision is classified under Schedule 5 – Other Liabilities in the Balance Sheet.

The Bank maintains a general provision on standard advances at the rates prescribed by the RBI other than for corporate standard advances internally rated 'BB and Below' or 'Unrated' and all SMA-2 advances as reported to CRILC, where general provision is maintained at rates that are higher than those prescribed by RBI. In case of overseas branches, general provision on standard advances is maintained at the higher of the levels stipulated by the respective overseas regulator or by the extant RBI guidelines. The Bank also maintains general provision on positive Mark-to-Market (MTM) on derivatives at the rates prescribed by the extant RBI guidelines.

The Bank maintains provision on non-funded outstanding in relation to NPAs, prudentially written off accounts, corporate standard advances internally rated 'BB and Below' or 'Unrated' and all SMA-2 advances as reported to CRILC. This provision is classified under Schedule 5 – Other Liabilities in the Balance Sheet.

Under its home loan portfolio, the Bank offers housing loans with certain features involving waiver of Equated Monthly Installments ('EMIs') for a specific period subject to fulfilment of certain conditions by the borrower. The Bank makes provision against the probable loss that could be incurred in future on account of these waivers to eligible borrowers based on actuarial valuation conducted by an independent actuary. This provision is classified under Schedule 5 – Other Liabilities in the Balance Sheet.

As on 31 March, 2022, the Bank continues to hold provisions against the potential impact of COVID-19 (other than provisions held for restructuring under COVID 19 norms) based on the information available at this point in time. The provisions held by the Bank are in excess of the RBI prescribed norms.

5.3 Country risk

In addition to the provisions required to be held according to the asset classification status, provisions are held for individual country exposure (other than for home country) as per the RBI guidelines. Such provisions are held only in respect of those countries where the net funded exposure of the Bank exceeds 1% of its total assets. For this purpose the countries are categorized into seven risk categories namely insignificant, low, moderate, high, very high, restricted and off-credit as per internal parameters in accordance with RBI guidelines. Provision is made on exposures exceeding 180 days on a graded scale ranging from 0.25% to 100%. For exposures with contractual maturity of less than 180 days, 25% of the normal provision requirement is held. If the net funded exposure of the Bank in respect of each country does not exceed 1% of the total assets, no provision is maintained on such country exposure in accordance with RBI guidelines. This provision is classified under Schedule 5 – Other Liabilities in the Balance Sheet.

5.4 Securitisation and transfer of assets

Securitisation of Standard Assets

The Bank enters into purchase/sale of corporate and retail loans through direct assignment/Special Purpose Vehicle ('SPV'). In most cases, post securitisation, the Bank continues to service the loans transferred to the assignee/SPV. The Bank also provides credit enhancement in the form of cash collaterals and/or by subordination of cash flows to Senior Pass through Certificate holders. In respect of credit enhancements provided or recourse obligations (projected delinquencies, future servicing etc.) accepted by the Bank, appropriate provision/disclosure is made at the time of sale in accordance with AS-29, Provisions, Contingent Liabilities and Contingent Assets as notified under Section 133 of the Companies Act, 2013 read together with paragraph 7 of the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Amendment Rules, 2016. In accordance with RBI guidelines on Securitisation of Standard Assets, any loss, profit or premium realised at the time of the sale is accounted in the Profit & Loss Account for the accounting period during which the sale is completed. However, in case of unrealised gains arising out of sale of underlying assets to the SPV, the profit is recognised in Profit and Loss Account only when such unrealised gains associated with such income is redeemed in cash.

Transfer of Loan Exposures

In accordance with RBI guidelines on Transfer of Loan exposures, any loss or profit arising because of transfer of loans, which is realised, is accounted for and reflected in the Profit & Loss Account for the accounting period during which the transfer is completed. Loans acquired are carried at acquisition cost unless it is more than the outstanding principal at the time of the transfer, in which case the premium paid is amortised based on straight line method.

5.5 Priority Sector Lending Certificates

The Bank enters into transactions for the sale or purchase of Priority Sector Lending Certificates ('PSLCs'). In the case of a sale transaction, the Bank sells the fulfilment of priority sector obligation and in the case of a purchase transaction the Bank buys the fulfilment of priority sector obligation through the RBI trading platform. There is no transfer of loan assets in PSLC transaction.

5.6 Translation of Foreign Currency items

In respect of domestic operations, transactions denominated in foreign currencies are accounted for at the rates prevailing on the date of the transaction. Monetary foreign currency assets and liabilities are translated at the Balance Sheet date at rates notified by Foreign Exchange Dealers Association of India ('FEDAI'). All profits/losses resulting from year end revaluations are recognised in the Profit and Loss Account.

Financial statements of foreign branches classified as non-integral foreign operations as per the RBI guidelines are translated as follows:

- Assets and liabilities (both monetary and non-monetary as well as contingent liabilities) are translated at closing exchange rates notified by FEDAI at the Balance Sheet date.
- Income and expenses are translated at the rates prevailing on the date of the transactions.
- All resulting exchange differences are accumulated in a separate 'Foreign Currency Translation Reserve' (FCTR) till the disposal of the net investments. Any realised gains or losses on such disposal are recognised in the Profit and Loss Account except for those that relate to repatriation of accumulated profits which are reclassified from FCTR to 'Balance in Profit and Loss Account' under Schedule 2 – Reserves and Surplus in the Balance Sheet.

Contingent liabilities on account of forward exchange and derivative contracts, guarantees, acceptances, endorsements and other obligations denominated in foreign currencies are disclosed at closing rates of exchange notified by FEDAI.

5.7 Foreign exchange and derivative contracts

Derivative transactions comprise of forward contracts, swaps and options which are disclosed as contingent liabilities. The forwards, swaps and options are categorised as trading or hedge transactions. Trading derivative contracts are revalued at the Balance Sheet date with the resulting unrealised gain or loss being recognised in the Profit and Loss Account and correspondingly in other assets (representing positive Mark-to-Market) and in other liabilities (representing negative Mark-to-Market (MTM)) on a gross basis. For hedge transactions, the Bank identifies the hedged item (asset or liability) at the inception of transaction itself. The effectiveness is ascertained at the time of inception of the hedge and periodically thereafter. Hedge swaps are accounted for on accrual basis except in case of swaps designated with an asset or liability that is carried at market value or lower of cost or market value in the financial statements. In such cases the swaps are marked-to-market with the resulting gain or loss recorded as an adjustment to the market value of designated asset or liability. Hedge transactions that are entered after 26 June, 2019 through rupee interest rate derivatives are accounted for as per the guidance note issued by ICAI on accounting for derivative contracts. Pursuant to the RBI guidelines any receivables under derivative contracts comprising of crystallised receivables as well as positive Mark-to-Market (MTM) in respect of future receivables which remain overdue for more than 90 days are reversed through the Profit and Loss account and are held in separate Suspense Account.

Premium on options is recognized as income/expense on expiry or early termination of the transaction.

Currency futures contracts are marked-to-market using daily settlement price on a trading day, which is the closing price of the respective futures contracts on that day. While the daily settlement price is computed based on the last half an hour weighted average price of such contracts, the final settlement price is taken as the RBI reference rate on the last trading day of the futures contracts or as may be specified by the relevant authority from time to time. All open positions are marked-to-market based on the settlement price and the resultant marked-to-market profit/loss is daily settled with the exchange.

Valuation of Exchange Traded Currency Options (ETCO) is carried out on the basis of the daily settlement price of each individual option provided by the exchange and valuation of Interest Rate Futures (IRF) is carried out on the basis of the daily settlement price of each contract provided by the exchange.

Outstanding forward exchange contracts including tom/spot contracts (excluding currency swaps undertaken to hedge foreign currency assets/liabilities and funding swaps which are not revalued) are revalued at year end on PV basis by discounting the forward value till spot date and converting the FCY amount using the respective spot rates as notified by FEDAI. The resulting gains or losses on revaluation are included in the Profit and Loss Account in accordance with RBI/FEDAI guidelines.

Premium/discount on currency swaps undertaken to hedge foreign currency assets and liabilities and funding swaps is recognised as interest income/expense and is amortised on a pro-rata basis over the underlying swap period.

5.8 Revenue recognition

Interest income is recognised on an accrual basis in accordance with AS–9, Revenue Recognition as notified under Section 133 of the Companies Act, 2013 read together with paragraph 7 of the Companies (Accounts) Rules, 2014, the

Companies (Accounting Standards) Amendment Rules, 2016 and the RBI guidelines, except in the case of interest income on non-performing assets where it is recognised on receipt basis as per income recognition and asset classification norms of RBI. Income on non-coupon bearing discounted instruments or low-coupon bearing instruments is recognised over the tenor of the instrument on a constant yield basis.

Commission on guarantees and LCs is recognized on a pro-rata basis over the period of the guarantee/LC. Locker rent is recognized on a straight-line basis over the period of contract. Annual fee for credit cards and debit cards is recognised on a straight-line basis over the period of service. Arrangership/syndication fee is accounted for on completion of the agreed service and when right to receive is established. Other fees and commission income are recognised when due, where the Bank is reasonably certain of ultimate collection.

Interest income on investments in discounted PTCs is recognized on a constant yield basis.

Dividend income is accounted on an accrual basis when the right to receive the dividend is established.

Gain/loss on sell down of loans and advances through direct assignment is recognised at the time of sale.

Fees paid for purchase of Priority Sector Lending Certificates ('PSLC') is amortised on straight-line basis over the tenor of the certificate as 'Other Expenditure' under Schedule 16 of Profit and Loss Account. Fees received on sale of PSLC is amortised on straight-line basis over the tenor of the certificate as 'Miscellaneous Income' under Schedule 14 of Profit and Loss Account.

In accordance with RBI guidelines on sale of non-performing advances, if the sale is at a price below the net book value (i.e. book value less provisions held), the shortfall is charged to the Profit and Loss Account. If the sale is for a value higher than the net book value, the excess provision is credited to the Profit and Loss Account in the year the amounts are received.

The Bank deals in bullion business on a consignment basis. The difference between the price recovered from customers and cost of bullion is accounted for at the time of sale to the customers. The Bank also deals in bullion on a borrowing and lending basis and the interest paid/received is accounted on an accrual basis.

5.9 Fixed assets and depreciation/impairment

Fixed assets are carried at cost of acquisition less accumulated depreciation and impairment, if any. Cost includes initial handling and delivery charges, duties, taxes and incidental expenses related to the acquisition and installation of the asset. Subsequent expenditure incurred on assets put to use is capitalised only when it increases the future economic benefit / functioning capability from / of such assets.

Capital work-in-progress includes cost of fixed assets that are not ready for their intended use and also includes advances paid to acquire fixed assets.

Depreciation is provided over the estimated useful life of a fixed asset on the straight-line method from the date of addition. The management believes that depreciation rates currently used, fairly reflect its estimate of the useful lives and residual values of fixed assets based on historical experience of the Bank, though these rates in certain cases are different from lives prescribed under Schedule II of Companies Act, 2013. Whenever there is a revision of the estimated useful life of an asset, the unamortised depreciable amount is charged over the revised remaining useful life of the said asset.

Asset	Estimated useful life
Leased Land	As per the term of the agreement
Owned premises	60 years
Locker cabinets/cash safe/strong room door	10 years
Interior	9 years
EPABX, telephone instruments	8 years
Modem, scanner, routers, hubs, switches, racks/cabinets for IT equipment	5 years
UPS, VSAT, fax machines	5 years
Cheque book/cheque encoder, currency counting machine, fake note detector	5 years
Application software	5 years
Electronic Data Capture (EDC)/ Point of Sale (POS) machines	5 years
Vehicles	4 years
Computer hardware including printers	3 years

Asset	Estimated useful life
CCTV and video conferencing equipment	3 years
Assets at staff residence	3 years
Mobile phone	2 years
All other fixed assets	10 years

Assets costing less than ₹5,000 individually are fully depreciated in the year of purchase.

Depreciation on assets sold during the year is recognised on a pro-rata basis to the Profit and Loss Account till the date of sale.

Gain or losses arising from the retirement or disposal of Fixed Assets are determined as the difference between the net disposal proceeds and the carrying amount of assets and recognised as income or expense in the Profit and Loss Account. Further, profit on sale of premises is appropriated to Capital Reserve account (net of taxes and transfer to statutory reserve) in accordance with RBI instructions.

The carrying amounts of assets are reviewed at each Balance Sheet date to ascertain if there is any indication of impairment based on internal/external factors. An impairment loss is recognised wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the asset's net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value at the weighted average cost of capital. After impairment, depreciation is provided on the revised carrying amount of the asset over its remaining useful life.

5.10 Non-banking assets

Non-banking assets ('NBAs') acquired in satisfaction of claims include land. In the case of land, the Bank creates provision and follows the accounting treatment as per specific RBI directions.

5.11 Lease transactions

Leases where the lessor effectively retains substantially all the risks and benefits of ownership over the lease term are classified as operating lease. Lease payments for assets taken on operating lease are recognised as an expense in the Profit and Loss Account on a straight-line basis over the lease term. Lease income from assets given on operating lease is recognized as income in profit and loss account on a straight line basis over the lease term.

5.12 Employee benefits

- **Short-term employee benefits**

  Short-term employee benefits comprise salaries and other compensations payable for services which the employee has rendered in the period. These are recognized at the undiscounted amount in the Profit & loss account.

- **Provident Fund**

  Retirement benefit in the form of provident fund is a defined benefit plan wherein the contributions are charged to the Profit and Loss Account of the year when the contributions to the fund are due and when services are rendered by the employees. Further, an actuarial valuation is conducted by an independent actuary using the Projected Unit Credit Method as at 31 March each year to determine the deficiency, if any, in the interest payable on the contributions as compared to the interest liability as per the statutory rate and the shortfall if any due to fluctuations in price or impairment, in the aggregate asset values of the Trust as compared to the market value. Actuarial gains/losses are immediately taken to the Profit and Loss Account and are not deferred.

  The Bank makes contribution as required by The Employees' Provident Funds and Miscellaneous Provisions Act, 1952 to Employees' Pension Scheme administered by the Regional Provident Fund Commissioner.

  The overseas branches of the Bank and its eligible employees contribute a certain percentage of their salary towards respective government schemes as per local regulatory guidelines. The contribution made by the overseas branches is recognised in profit and loss account payment, as such contribution is in the nature of defined contribution.

- **Gratuity**

  The Bank contributes towards gratuity fund (defined benefit retirement plan) administered by various insurers for eligible employees. Under this scheme, the settlement obligations remain with the Bank, although various insurers administer the scheme and determine the contribution premium required to be paid by the Bank. The plan provides a lump sum payment to vested employees at retirement or termination of employment based on the respective employee's salary and the years of employment with the Bank. Liability with regard to gratuity fund is accrued based on actuarial valuation conducted by an independent actuary using the Projected Unit Credit Method as at 31 March each year. In respect of employees at overseas branches (other than expatriates) liability with regard to gratuity is provided on the basis of a prescribed method as per local laws, wherever applicable. Actuarial gains/losses are immediately taken to the Profit and Loss Account and are not deferred.

- **Superannuation**

  Employees of the Bank are entitled to receive retirement benefits under the Bank's Superannuation scheme either under a cash-out option through salary or under a defined contribution plan. Through the defined contribution plan, the Bank contributes annually a sum of 10% of the employee's eligible annual basic salary to LIC, which undertakes to pay the lump sum and annuity benefit payments pursuant to the scheme. Superannuation contributions are recognised in the Profit and Loss Account in the period in which they accrue.

- **National Pension Scheme ('NPS')**

  In respect of employees who opt for contribution to the 'NPS', the Bank contributes certain percentage of the total basic salary of employees to the aforesaid scheme, a defined contribution plan, which is managed and administered by pension fund management companies. NPS contributions are recognised in the Profit and Loss Account in the period in which they accrue.

5.13 Reward points

The Bank runs a loyalty program which seeks to recognize and reward customers based on their relationship with the Bank. Under the program, eligible customers are granted loyalty points redeemable in future, subject to certain conditions. In addition, the Bank continues to grant reward points in respect of certain credit cards (not covered under the loyalty program). The Bank estimates the provision for such loyalty/reward points using an actuarial method at the Balance Sheet date through an independent actuary, which includes assumptions such as redemption rate, lapse rate, discount rate, value of reward points etc. Provision for the said reward points is then made based on the actuarial valuation report as furnished by the said independent actuary.

5.14 Taxation

Income tax expense is the aggregate amount of current tax and deferred tax charge. Current year taxes are determined in accordance with the relevant provisions of Income tax Act, 1961 and considering the material principles set out in Income Computation and Disclosure Standards to the extent applicable. Deferred income taxes reflect the impact of current year timing differences between taxable income and accounting income for the year and reversal of timing differences of earlier years.

Deferred tax is measured based on the tax rates and the tax laws enacted or substantively enacted at the Balance Sheet date. Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off assets against liabilities representing current tax and the deferred tax assets and deferred tax liabilities relate to the taxes on income levied by same governing taxation laws.

Deferred tax assets are recognised only to the extent that there is reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realised. The impact of changes in the deferred tax assets and liabilities is recognised in the Profit and Loss Account.

Deferred tax assets are recognised and reassessed at each reporting date, based upon the Management's judgement as to whether realisation is considered as reasonably certain. Deferred tax assets are recognised on carry forward of unabsorbed depreciation and tax losses only if there is virtual certainty supported by convincing evidence that such deferred tax asset can be realised against future profits.

5.15 Share issue expenses

Share issue expenses are adjusted from Share Premium Account in terms of Section 52 of the Companies Act, 2013.

5.16 Corporate Social Responsibility

Expenditure towards Corporate Social Responsibility is recognised in the Profit and Loss account in accordance with the provisions of the Companies Act, 2013.

5.17 Earnings per share

The Bank reports basic and diluted earnings per share in accordance with AS-20, Earnings per Share, as notified under Section 133 of the Companies Act, 2013 read together with paragraph 7 of the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Amendment Rules, 2016. Basic earnings per share is computed by dividing the net profit after tax by the weighted average number of equity shares outstanding for the year.